PUBLIC FINANCE AND SERVICE-DELIVERY TOOLS

BUDGET-TO-BENEFICIARY CHAIN → THE TOOL STACK AND → THE JAM FOUNDATION → SCOPE CARD FOR AUTHENTICATED → RELEASE ARCHITECTURE SUCCESSION → JUST-IN-TIME RELEASE MECHANISM

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

◆ PRIMARY CORE FLOW ◈ SUBORDINATE EXTRA ◆ APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

00

STAGE 00 — BUDGET-TO-BENEFICIARY CHAIN

BUDGET-TO-BENEFICIARY CHAIN · 1 BUDGET · APPROPRIATION, SCHEME APPROVAL, OUTLAY; FAILURE · AN UNREALISTIC OUTLAY · 2 RELEASE · UNION TO STATE OR AGENCY, JUST-IN-TIME VIA E-KUBER; FAILURE · DELAY, FLOAT · 3 AGENCY

1 BUDGET — appropriation, scheme approval, outlay; failure: an unrealistic outlay → 2 RELEASE — Union to State or agency, just-in-time via e-Kuber; failure: delay, float → 3 AGENCY — agency receives, incurs and reports; failure: diversion and idle balance → 4 PROCUREMENT — goods, works and services under the rules; failure: specification, cartel → 5 BENEFICIARY — transfer or service delivered; failure: exclusion, last-mile cash access

CORE CLAIM
- 1 BUDGET — appropriation, scheme approval, outlay; failure: an unrealistic outlay
- 2 RELEASE — Union to State or agency, just-in-time via e-Kuber; failure: delay, float
- 3 AGENCY — agency receives, incurs and reports; failure: diversion and idle balance

MECHANISM
- 4 PROCUREMENT — goods, works and services under the rules; failure: specification, cartel
- 5 BENEFICIARY — transfer or service delivered; failure: exclusion, last-mile cash access
- 6 OUTCOME — did the money change anything; failure: outputs counted in place of outcomes

CONSEQUENCE / LIMIT
- MUST REMEMBER: Public finance for service delivery follows need and entitlement,...

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MUST REMEMBER: Public finance for service delivery follows need and entitlement,.

01

STAGE 01 — THE TOOL STACK AND THE PROBLEM EACH SOLVES

THE TOOL STACK AND THE PROBLEM EACH SOLVES · THE PRECONDITION · A VERIFIABLE PERSON, A USABLE ACCOUNT, A NOTIFICATION CHANNEL · DIRECT BENEFIT TRANSFER · IDENTITY-BASED LEAKAGE FROM FAKE, DUPLICATE, INELIGIBLE ENTRIES · PUBLIC FINANCIAL MANAGEMENT SYSTEM · DIVERSION AND IDLE BALANCES AT THE AGENCY LEVEL · FLOAT AND ADVANCE PARKING IN THE CENTRALLY SPONSORED SCHEME

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
JAM → the precondition: a verifiable person, a usable account, a notification channel	PUBLIC FINANCIAL MANAGEMENT SYSTEM → diversion and idle balances at the agency level	GENERAL FINANCIAL RULES, 2017 → procedural discipline over sanction and procurement
DIRECT BENEFIT TRANSFER → identity-based leakage from fake, duplicate, ineligible entries	SNA-SPARSH → float and advance parking in the centrally sponsored scheme release chain	JAM → the precondition: a verifiable person, a usable account, a notification channel

CORE CLAIM
- JAM → the precondition: a verifiable person, a usable account, a notification channel
- DIRECT BENEFIT TRANSFER → identity-based leakage from fake, duplicate, ineligible entries

MECHANISM
- PUBLIC FINANCIAL MANAGEMENT SYSTEM → diversion and idle balances at the agency level
- SNA-SPARSH → float and advance parking in the centrally sponsored scheme release chain

CONSEQUENCE / LIMIT
- GENERAL FINANCIAL RULES, 2017 → procedural discipline over sanction and procurement
- JAM → the precondition: a verifiable person, a usable account, a notification channel

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: GENERAL FINANCIAL RULES, 2017 → procedural discipline over sanction and procurement.

02

STAGE 02 — THE JAM FOUNDATION

THE JAM FOUNDATION · JAN DHAN · UNIVERSAL BANK-ACCOUNT ACCESS AS THE DESTINATION OF A TRANSFER · UNIQUE IDENTITY THAT MAKES INDIVIDUAL-LEVEL DE-DUPLICATION POSSIBLE · THE TRANSACTION AND NOTIFICATION CHANNEL THAT CLOSES THE LOOP · AN ACCOUNT THAT EXISTS IS NOT ALWAYS AN ACCOUNT

JAN DHAN → universal bank-account access as the destination of a transfer

AADHAAR → unique identity that makes individual-level de-duplication possible → MOBILE → the transaction and notification channel that closes the loop → LIMIT → an account that exists is not always an account the holder can actually

CORE CLAIM
- JAN DHAN → universal bank-account access as the destination of a transfer
- AADHAAR → unique identity that makes individual-level de-duplication possible

MECHANISM
- MOBILE → the transaction and notification channel that closes the loop
- LIMIT → an account that exists is not always an account the holder can actually use

CONSEQUENCE / LIMIT
- JAN DHAN → universal bank-account access as the destination of a transfer
- AADHAAR → unique identity that makes individual-level de-duplication possible

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → an account that exists is not always an account the holder can actually use.

03

STAGE 03 — SCOPE CARD FOR AUTHENTICATED TRANSFER

SCOPE CARD FOR AUTHENTICATED TRANSFER · TRANSFERS CREDITED TO AN INDIVIDUAL VERIFIED BENEFICIARY ACCOUNT · IN KIND · BENEFITS DELIVERED THROUGH AUTHENTICATED SYSTEMS RATHER THAN CREDITED · SERVICE ENABLERS · CERTAIN TRANSFERS MADE TO THOSE WHO ENABLE THE SERVICE · SCOPE ERROR · EQUATING THE INSTRUMENT WITH CASH TRANSFER ALONE

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
CASH → transfers credited to an individual verified beneficiary account	SERVICE ENABLERS → certain transfers made to those who enable the service	CASH → transfers credited to an individual verified beneficiary account
IN KIND → benefits delivered through authenticated systems rather than credited	SCOPE ERROR → equating the instrument with cash transfer alone	IN KIND → benefits delivered through authenticated systems rather than credited

CORE CLAIM
- CASH → transfers credited to an individual verified beneficiary account
- IN KIND → benefits delivered through authenticated systems rather than credited

MECHANISM
- SERVICE ENABLERS → certain transfers made to those who enable the service
- SCOPE ERROR → equating the instrument with cash transfer alone

CONSEQUENCE / LIMIT
- CASH → transfers credited to an individual verified beneficiary account
- IN KIND → benefits delivered through authenticated systems rather than credited

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SCOPE ERROR → equating the instrument with cash transfer alone.

04

STAGE 04 — RELEASE ARCHITECTURE SUCCESSION

RELEASE ARCHITECTURE SUCCESSION · SINGLE NODAL AGENCY MODEL · DESIGNATED AGENCY AND ACCOUNT PER SCHEME · 13 JULY 2023 · OFFICE MEMORANDUM NO. 1(27)/PFMS/2020 INTRODUCES SNA-SPARSH · 10 JUNE 2025 OM · THIRTY-SEVEN FURTHER SCHEMES BROUGHT IN FROM 1 JULY 2025 · 1 NOVEMBER 2025

2021 → Single Nodal Agency model: designated agency and account per scheme · 13 JULY 2023 → Office Memorandum No. 1(27)/PFMS/2020 introduces SNA-SPARSH · 10 JUNE 2025 OM → thirty-seven further schemes brought in from 1 July 2025 · 1 NOVEMBER 2025 → applies to all such schemes in States and Union Territories with · BOUNDARY → applicable from is provable; operational in all is not

CORE CLAIM
- 2021 → Single Nodal Agency model: designated agency and account per scheme
- 13 JULY 2023 → Office Memorandum No. 1(27)/PFMS/2020 introduces SNA-SPARSH

MECHANISM
- 10 JUNE 2025 OM → thirty-seven further schemes brought in from 1 July 2025
- 1 NOVEMBER 2025 → applies to all such schemes in States and Union Territories with legislatures

CONSEQUENCE / LIMIT
- BOUNDARY → applicable from is provable; operational in all is not
- 2021 → Single Nodal Agency model: designated agency and account per scheme

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: BOUNDARY → applicable from is provable; operational in all is not.

05

STAGE 05 — JUST-IN-TIME RELEASE MECHANISM

JUST-IN-TIME RELEASE MECHANISM · PUBLIC FINANCIAL MANAGEMENT SYSTEM PLUS STATE IFMIS PLUS RBI · UNION AND STATE SHARES RELEASED TOGETHER AGAINST AN ACTUAL · IDLE FLOAT AND ADVANCE PARKING ARE REMOVED FROM THE · STATE CASH-PLANNING BUFFER IS LOST AND AGENCY RECONCILIATION LOAD

INTEGRATION → Public Financial Management System plus State IFMIS plus RBI e-Kuber → RULE → Union and State shares released together against an actual expenditure claim → GAIN → idle float and advance parking are removed from the release chain → COST → State cash-planning buffer is lost and agency reconciliation load rises

CORE CLAIM
- INTEGRATION → Public Financial Management System plus State IFMIS plus RBI e-Kuber
- RULE → Union and State shares released together against an actual expenditure claim

MECHANISM
- GAIN → idle float and advance parking are removed from the release chain
- COST → State cash-planning buffer is lost and agency reconciliation load rises

CONSEQUENCE / LIMIT
- INTEGRATION → Public Financial Management System plus State IFMIS plus RBI e-Kuber
- RULE → Union and State shares released together against an actual expenditure claim

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RULE → Union and State shares released together against an actual expenditure claim.

06

STAGE 06 — ERROR MATRIX

ERROR MATRIX · E1 INCLUSION ERROR · AN INELIGIBLE PERSON RECEIVES; CAUSE · FAKE, DUPLICATE, OUTDATED LISTS · E1 INSTRUMENTS · AUTHENTICATION, DE-DUPLICATION, VERIFICATION; COST · RAISES E2 · E2 EXCLUSION ERROR

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
E1 INCLUSION ERROR → an ineligible person receives; cause: fake, duplicate, outdated lists	E2 EXCLUSION ERROR → an eligible person is denied; cause: authentication and seeding failure	E1 INCLUSION ERROR → an ineligible person receives; cause: fake, duplicate, outdated lists
E1 INSTRUMENTS → authentication, de-duplication, verification; cost: raises E2	E2 CORRECTIVES → offline fallback, named exception officer, list revision, timed grievance	E1 INSTRUMENTS → authentication, de-duplication, verification; cost: raises E2

CORE CLAIM
- E1 INCLUSION ERROR → an ineligible person receives; cause: fake, duplicate, outdated lists
- E1 INSTRUMENTS → authentication, de-duplication, verification; cost: raises E2

MECHANISM
- E2 EXCLUSION ERROR → an eligible person is denied; cause: authentication and seeding failure
- E2 CORRECTIVES → offline fallback, named exception officer, list revision, timed grievance

CONSEQUENCE / LIMIT
- E1 INCLUSION ERROR → an ineligible person receives; cause: fake, duplicate, outdated lists
- E1 INSTRUMENTS → authentication, de-duplication, verification; cost: raises E2

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: E2 CORRECTIVES → offline fallback, named exception officer, list revision, timed grievance.

07

STAGE 07 — WHICH ERROR THE STATE CHOOSES TO BEAR

WHICH ERROR THE STATE CHOOSES TO BEAR · A FISCAL COST FALLING ON THE EXCHEQUER AND RECOVERABLE · A SUBSISTENCE COST FALLING ON ONE PERSON IN THE · FOR FOOD, PENSION AND WAGE ENTITLEMENTS THE ASYMMETRY FAVOURS · WORN FINGERPRINTS, ELDERLY USERS AND LOW-CONNECTIVITY AREAS BEAR E2 · ANSWER MOVE · SAY WHICH ERROR THE DESIGN OPTIMISES AGAINST AND WHY

E1 → a fiscal cost falling on the exchequer and recoverable in later years → E2 → a subsistence cost falling on one person in the year the benefit was → FOR FOOD, PENSION AND WAGE ENTITLEMENTS the asymmetry favours tolerating some E1 → INCIDENCE: worn fingerprints, elderly users and low-connectivity areas bear E2 first → ANSWER MOVE → say which error the design optimises against and why

CORE CLAIM
- E1 → a fiscal cost falling on the exchequer and recoverable in later years
- E2 → a subsistence cost falling on one person in the year the benefit was needed

MECHANISM
- FOR FOOD, PENSION AND WAGE ENTITLEMENTS the asymmetry favours tolerating some E1
- INCIDENCE: worn fingerprints, elderly users and low-connectivity areas bear E2 first

CONSEQUENCE / LIMIT
- ANSWER MOVE → say which error the design optimises against and why
- E1 → a fiscal cost falling on the exchequer and recoverable in later years

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ANSWER MOVE → say which error the design optimises against and why.

08

STAGE 08 — THREE FAILURES, THREE INSTRUMENTS

THREE FAILURES, THREE INSTRUMENTS · BENEFIT DIVERTED TO SOMEONE NOT ENTITLED; INSTRUMENT · DE-DUPLICATION, TRACKING · BENEFIT NEVER REACHES AN ELIGIBLE PERSON; INSTRUMENT · FALLBACK AND GRIEVANCE · BENEFIT DELIVERED AT EXCESSIVE COST; INSTRUMENT · PROCUREMENT AND DESIGN · MERGING ALL THREE INTO PLUGGING THE LEAKAGES PRODUCES RECOMMENDATIONS

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
LEAKAGE → benefit diverted to someone not entitled; instrument: de-duplication, tracking	INEFFICIENCY → benefit delivered at excessive cost; instrument: procurement and design	LEAKAGE → benefit diverted to someone not entitled; instrument: de-duplication, tracking
EXCLUSION → benefit never reaches an eligible person; instrument: fallback and grievance	ERROR → merging all three into plugging the leakages produces recommendations that fail	EXCLUSION → benefit never reaches an eligible person; instrument: fallback and grievance

CORE CLAIM
- LEAKAGE → benefit diverted to someone not entitled; instrument: de-duplication, tracking
- EXCLUSION → benefit never reaches an eligible person; instrument: fallback and grievance

MECHANISM
- INEFFICIENCY → benefit delivered at excessive cost; instrument: procurement and design
- ERROR → merging all three into plugging the leakages produces recommendations that fail

CONSEQUENCE / LIMIT
- LEAKAGE → benefit diverted to someone not entitled; instrument: de-duplication, tracking
- EXCLUSION → benefit never reaches an eligible person; instrument: fallback and grievance

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ERROR → merging all three into plugging the leakages produces recommendations that fail.

09

STAGE 09 — PROCUREMENT FAILURE AND INTEGRITY MAP

PROCUREMENT FAILURE AND INTEGRITY MAP · OVER-SPECIFIED OR VENDOR-TAILORED TERMS NARROW THE FIELD BEFORE BIDDING · SINGLE-BID AND LIMITED-COMPETITION OUTCOMES REMOVE THE PRICE DISCIPLINE · LOWEST-COST SELECTION FOR QUALITY-DEPENDENT SERVICES BUYS THE WRONG THING · AFTER AWARD · WEAK CONTRACT MANAGEMENT AND THIN TECHNICAL EVALUATION CAPACITY · DISCLOSURE, DEBARMENT, INDEPENDENT COMPLAINT HANDLING, AUDIT OF THE AWARD · TIGHTER RULES RAISE INTEGRITY, LENGTHEN TIMELINES AND DETER CAPABLE

SPECIFICATION → over-specified or vendor-tailored terms narrow the field before bidding → COMPETITION → single-bid and limited-competition outcomes remove the price discipline → SELECTION → lowest-cost selection for quality-dependent services buys the wrong thing → AFTER AWARD → weak contract management and thin technical evaluation capacity → INTEGRITY → disclosure, debarment, independent complaint handling, audit of the award

CORE CLAIM
- SPECIFICATION → over-specified or vendor-tailored terms narrow the field before bidding
- COMPETITION → single-bid and limited-competition outcomes remove the price discipline
- SELECTION → lowest-cost selection for quality-dependent services buys the wrong thing

MECHANISM
- AFTER AWARD → weak contract management and thin technical evaluation capacity
- INTEGRITY → disclosure, debarment, independent complaint handling, audit of the award
- TRADE-OFF → tighter rules raise integrity, lengthen timelines and deter capable suppliers

CONSEQUENCE / LIMIT
- CLOSE DISTINCTION: Budget allocation is not release, release is not expenditure,...

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Budget allocation is not release, release is not expenditure,.

10

STAGE 10 — LOCAL-BODY FINANCE THREE-SOURCE TEST

LOCAL-BODY FINANCE THREE-SOURCE TEST · SOURCE 1 · OWN REVENUE RAISED BY THE LOCAL BODY ITSELF · SOURCE 2 · STATE DEVOLUTION ON STATE FINANCE COMMISSION RECOMMENDATIONS · SOURCE 3 · UNION FINANCE COMMISSION GRANTS UNDER ARTICLE 280(3)(BB) AND ARTICLE · DEPENDENCE ON SOURCE THREE ALONE IS SPENDING CAPACITY WITHOUT

SOURCE 1 → own revenue raised by the local body itself

SOURCE 2 → State devolution on State Finance Commission recommendations → SOURCE 3 → Union Finance Commission grants under Article 280(3)(bb) and Article 280(3)(c) → TEST → dependence on source three alone is spending capacity without fiscal autonomy

CORE CLAIM
- SOURCE 1 → own revenue raised by the local body itself
- SOURCE 2 → State devolution on State Finance Commission recommendations

MECHANISM
- SOURCE 3 → Union Finance Commission grants under Article 280(3)(bb) and Article 280(3)(c)
- TEST → dependence on source three alone is spending capacity without fiscal autonomy

CONSEQUENCE / LIMIT
- CONDITION → audited accounts, predictable release, transparent formula, public disclosure
- EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use PFMS, DBT, Government e-Marketplace,...

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use PFMS, DBT, Government e-Marketplace,.

11

STAGE 11 — ANSWER SPINE FOR A FINANCIAL-FLOW DEMAND

ANSWER SPINE FOR A FINANCIAL-FLOW DEMAND · NAME THE STAGE OF THE CHAIN THE STEM OCCUPIES · ASSIGN EACH TOOL ITS OWN PROBLEM, MECHANISM AND LIMITATION · SEPARATE LEAKAGE, EXCLUSION AND INEFFICIENCY AND STATE WHICH ERROR · GRADED VERDICT WITH THE REPORTING-DATE CAVEAT AND NO DASHBOARD

OPEN → name the stage of the chain the stem occupies and the failure that → BUILD → assign each tool its own problem, mechanism and limitation, never one system → CORRECT → separate leakage, exclusion and inefficiency and state which error is borne → CLOSE → graded verdict with the reporting-date caveat and no dashboard total asserted

CORE CLAIM
- OPEN → name the stage of the chain the stem occupies and the failure that belongs to it
- BUILD → assign each tool its own problem, mechanism and limitation, never one system

MECHANISM
- CORRECT → separate leakage, exclusion and inefficiency and state which error is borne
- CLOSE → graded verdict with the reporting-date caveat and no dashboard total asserted

CONSEQUENCE / LIMIT
- OPEN → name the stage of the chain the stem occupies and the failure that belongs to it
- BUILD → assign each tool its own problem, mechanism and limitation, never one system

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE → graded verdict with the reporting-date caveat and no dashboard total asserted.

E

EXTRA — SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · A RIGOROUS CRITIQUE OF DBT "SAVINGS" FIGURES SHOULD NOTE · SNA'S JUST-IN-TIME RELEASE MODEL ILLUSTRATES A RECURRING CENTRE-STATE FISCAL · PFMS'S SCHEME-COVERAGE EXPANSION OVER TIME (FROM A NARROWER INITIAL · THE DBT MISSION COORDINATES POLICY ACROSS MINISTRIES BUT DOES · PFMS HAS PROGRESSIVELY EXPANDED ITS SCHEME COVERAGE AND FUNCTIONAL · THE GENERAL FINANCIAL RULES WERE COMPREHENSIVELY REVISED IN 2017 · THE SNA MODEL, APPLIED PROGRESSIVELY TO MORE CENTRALLY SPONSORED

OPTIONAL SOURCE DEPTH
- CAUTION: A rigorous critique of DBT "savings" figures should note that reported savings
- CAUTION: SNA's just-in-time release model illustrates a recurring Centre-State fiscal
- CAUTION: PFMS's scheme-coverage expansion over time (from a narrower initial set of schemes to a
- The DBT Mission coordinates policy across ministries but does not itself administer

ADVANCED DEBATE
- PFMS has progressively expanded its scheme coverage and functional scope (from fund
- The General Financial Rules were comprehensively revised in 2017, consolidating and
- CAUTION: The SNA model, applied progressively to more centrally sponsored schemes since its
- CAUTION: A PDS or MGNREGA de-duplication exercise removing verified-fake job cards/ration cards

LEGACY / NUANCE
- CAUTION: Boundary case: a genuinely eligible elderly pension beneficiary repeatedly failing
- CAUTION: A state receiving just-in-time SNA-routed funds for a centrally sponsored scheme,
- CAUTION: DBT's de-duplication strength in reducing E1 (inclusion error/leakage) must be weighed
- CAUTION: SNA's just-in-time release improves Union-level fiscal discipline and visibility but

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels